

5.1 THE ECONOMIC PROBLEM

 C1.1-2.3; N1.1; IT1.1; WO1.1-2.3; LP1.1-2.3; PS1.1.

 1e, 1h, 1i, 1j, 2a, 3c

This section of the specification covers the major issues relating to different economic markets and the allocation of scarce resources between competing aims, as well as considering the role of money in the operation of these markets.

(a) Factors of Production

- Understand the nature of and identify examples of land, labour, capital and enterprise.

(b) Scarcity, choice and opportunity cost

- Show an appreciation of the basic economic problems of scarcity, choice and the allocation of resources.
- Apply the concept of opportunity cost to all economic decision makers.

- Interpret a linear production possibility curve, and assess its economic implications.

Approaches to the economic problem

- Understand that every economic producer (individuals, firms and government) has to decide upon what to produce, how to produce and for whom to produce.
- Identify the key features of market and mixed economies.
- Identify the key differences between private and public sector enterprises.
- Appreciate the increasing role of public/private sector partnerships.
- Appreciate the role of shares in a market economy.
- Understand the economic factors which a producer has to consider when deciding upon business location both nationally and internationally.

Money and interest rates

- Understand what is meant by money.
- Appreciate the use of money as a means of deferred payment, a store of value, a unit of account and a medium of exchange.
- Explain what is meant by rates of interest.